

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA**

Tentative Ruling

**2024CUBC031643: PKM INVESTMENTS LLC vs MACKEL-WALLIS
DEVELOPMENT, et al.
08/13/2026 in Department 43
Motion for Summary Judgment**

The morning calendar in courtroom 43 will normally begin at 8:45. Please arrive for your hearing no later than 8:30 a.m. The door will be opened before the calendar is called.

The Court allows remote appearances by Zoom. Refer to the Courtroom 43 webpage for more information about remote appearances. For Zoom appearances, all counsel appearing by Zoom must register no later than 3:00 p.m. the court day before the hearing. If appearing by Zoom, log into the hearing no later than 8:30 a.m. The Court will transfer you to the meeting room when the calendar begins. Additional instructions can be found on the Court website. When you log in to Zoom, be sure that your name and the case name are used as your Zoom name.

With respect to the tentative ruling below, no notice of intent to appear is required. If you wish to submit on the tentative ruling you can fax notice to Judge Coats's secretary, Ms. Brantner at 805-477-8790, stating that you submit on the tentative. Or you may email Courtroom43@ventura.courts.ca.gov with all counsel copied on the email. Do not call in lieu of sending a fax or email. If you submit on the tentative without appearing and the opposing party appears, the hearing will be conducted in your absence. If you are the moving party and do not advise the Court that you submit on the tentative, or you do not appear at the hearing, the Court may deny your motion irrespective of the tentative.

Unless stated otherwise at the hearing, if a formal order is required but not signed at the hearing, the prevailing party shall prepare a proposed order and comply with CRC 3.1312 subdivisions (a), (b), (d) and (e). The signed order shall be served on all parties and a proof of service filed with the court. A "notice of ruling" in lieu of this procedure is not authorized.

Motion: Motion for Summary Judgment or in the Alternative, Summary Adjudication by Defendant Mackel-Wallis Development (“MWD” or “Mackel-Wallis”).

Tentative Ruling: Defendant Mackel-Wallis Development’s Motion for Summary Judgment is GRANTED.

Defendant’s Undisputed Material Facts (UMFs):

UMFs 2, 5, 11, 18, 21, 25, and 28 are undisputed and established.

UMFs 1, 3, 4, and 6 are disputed but established.

UMF 7 is not established.

Evidentiary Objections to Plaintiff’s Evidence

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Objections 1-15 are overruled.

DISCUSSION

There are no triable issues of material fact as to whether Plaintiff PKM Investments, Inc. (“PKM”) timely provided written notice of its intent to exercise its option to extend the Ground Lease. The undisputed evidence establishes that PKM failed to provide the required notice by certified or registered mail on or before the July 5, 2023, deadline, as expressly required by Sections 2.2 and 18.1 of the Ground Lease. (Ex. 5 to Vol. 1 MWD Compendium of Evidence.)

The emails upon which PKM relies to contend that it provided timely notice before the July 5, 2023, deadline do not satisfy the express notice requirements of Section 18.1, which requires that the requisite notice be sent by certified or registered mail. None of the emails identified by PKM constitutes notice compliant with that contractual requirement. Moreover, the emails were not authored or transmitted by PKM. Rather, Exhibit 7 was authored by Defendant (Ted Mackel), while Exhibits 8 through 10 were authored by Valerie Tolbert, a representative of Sprouts, the sublessee. (Exs. 7–10.)

PKM’s own Managing Member, Thampi Kuruvila, further confirms that PKM did not provide the required notice by July 5, 2023. Mr. Kuruvila expressly testified that he did not provide such notice by that date. (Ex. 18 to Vol. 2 MWD Compendium of Evidence at p. 29.)

The documentary evidence independently confirms the same. Exhibit 13 to Volume 2 of MWD’s Compendium of Evidence establishes that PKM did not send the requisite notice by mail until August 29, 2023, more than seven weeks after the July 5, 2023, contractual deadline. Thus, the undisputed evidence establishes that PKM failed to timely exercise its option in the manner required by the terms of the Ground Lease.

Accordingly, there is no triable issue of material fact concerning PKM’s failure to provide timely and contractually compliant notice of its intent to exercise the extension option. This failure defeats PKM’s First and Second Causes of Action. The court is not persuaded of the existence of a triable issue of fact regarding estoppel (First and Second Causes of Action). That the parties were negotiating a possible amendment to the Ground Lease did not obviate the notice requirement. Additionally, the time period between the July 5, 2023, deadline and the October 3, 2023, letter affirmatively rejecting the August 29, 2026, notice attempt was relatively short. To the extent Sprouts engaged in construction (which is supported only by scant deposition testimony) the court is not persuaded that PKM was wrongfully induced to allow such construction by MWD.

Nor is the Court persuaded that a triable issue of material fact exists with respect to PKM’s claims for fraud and negligent misrepresentation (Third and Fourth Causes of Action). PKM has failed to present competent evidence establishing that MWD made any promise, representation, or other assurance that the extension of the Ground Lease had been granted. The evidence therefore does not support a finding that MWD made any actionable misrepresentation concerning PKM’s purported lease extension.

No triable issue of material fact exists with respect to PKM’s claims for intentional interference with contract or intentional and negligent interference with prospective economic advantage (Fifth through Seventh Causes of Action). The undisputed evidence demonstrates that the parties

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engaged in negotiations concerning proposed amendments to the Ground Lease, but those negotiations ultimately failed to result in an agreement. PKM's failure to timely and properly exercise its option to extend the Ground Lease is fatal to any contention that Defendants wrongfully refused to execute an agreement continuing the Ground Lease. In the absence of a timely and valid exercise of the option, PKM cannot establish the contractual or prospective economic interests necessary to sustain these causes of action.

Finally, the Court's prior ruling on MWD's demurrer was limited to the issues presented by that demurrer and the arguments advanced therein. The Court did not, in ruling on the demurrer, make factual findings or factual determinations concerning the merits of PKM's claims. To the extent it is necessary to revisit and amend that ruling, the Court does so herein. Accordingly, the prior demurrer ruling does not establish the existence of any disputed material fact and does not preclude the Court from determining, based on the evidentiary record presently before it, whether triable issues of material fact exist.